TSMC (2330 TT)

Buy: Increasing capex pressure to drive long-term growth

Equities
Semiconductors & Equipment

Taiwan

- Modest 2Q26 beat expected as 2H26 margin pressure unchanged; further price hike likely not until 1Q27
- Revised 2027 capex of USD80.2bn may still not be enough to address foundry tightness
- Maintain Buy; raise TP to TWD3,350 (from TWD2,800)

Slight 2Q26 beat likely, but margin pressure in 2H26 expected to remain: TSMC is due to announce its 2Q26 financial results on 16 July. We expect its 2Q26 GM to reach 68%, slightly higher than the guidance range of 65.5-67.5%, and better than the consensus expectation of 67.0%. For 3Q26e, we expect revenue to grow by 12% q-o-q (vs consensus +9% q-o-q) as we continue to expect AI to be the major driver. However, we believe the headwinds for GM that management listed are likely to remain in 2H26, including overseas facilities and 2nm ramp. As a result, we forecast 3Q26e GM to drop to 67% (vs consensus 65.9%). In terms of pricing, we retain our expectation that the next price hike will not come until the beginning of 2027.

Ongoing expansion to solve the advanced nodes tightness: We see increasing pressure for TSMC to continue expanding capacity for advanced nodes in the coming years, through both new facilities and resource reallocation from mature nodes, as we highlighted in *Secondary Foundry*, 23 June 2026. Hence, we now expect 78%/41% y-o-y capacity increases in 2nm/3nm in 2027 from TSMC. With the help of capacity increases and price hikes, we now expect 2027 revenue to see 36% y-o-y growth (vs FY26e y-o-y growth of 38.6% and management guidance of 30%) and TSMC's 2024-28 revenue CAGR to be 34% in USD (vs TSMC's guidance of 2024-29 CAGR of 25%).

Revised FY27e capex of USD80bn may still not be enough: We expect 2026 capex to be at the high end of the guidance range, at USD56.5bn, but do not rule out a potential rise to USD60bn. Although TSMC is unlikely to give FY27 capex guidance until 4Q26 earnings in January 2027, we still raise our 2027 capex estimate to USD80.2bn from USD70.6bn, which may still not be enough to support ongoing foundry capacity tightness. Our sensitivity analysis on a FY27 capex range of USD85bn-100bn suggests revenue upside of 4-19% in 2029 on top of the 25% CAGR target TSMC has set.

Retain Buy rating with revised TP of TWD3,350 (from TWD2,800): We raise our 2026/27 EPS estimates by 5%/14% to reflect capacity expansion and the strong utilisation rate. Our 2026e/27e EPS are 2%/6% higher than consensus. We raise our TP to TWD3,350 from TWD2,800 based on a lower PE multiple of 25x (from 27x) applied to 2027 EPS of TWD135.81 (from 2H26-1H27 EPS). We believe the lower PE is reasonable, as we expect more competition from Intel in the near to mid-term given the current supply tightness, regardless of Intel's yield performance.(vs TSMC enjoying peak PE when dominant in advanced nodes and advanced packaging). With c39% implied upside, we retain our Buy rating.

MAINTAIN BUY

TARGET PRICE (TWD)	PREVIOUS TARGET (TWD)
3350.00	**2800.00**

SHARE PRICE (TWD)	UPSIDE/DOWNSIDE
2415.00	**+38.7%**
(as of 09 Jul 2026)	

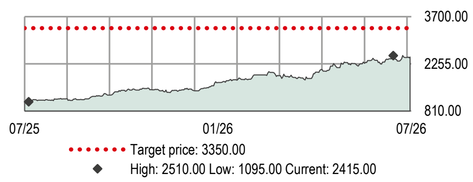
MARKET DATA

Market cap (TWDm)	62,626,673	Free float	86%
Market cap (USDm)	1,954,092	BBG	2330 TT
3m ADTV (USDm)	3,003	RIC	2330.TW

FINANCIALS AND RATIOS (TWD)

Year to	12/2025a	12/2026e	12/2027e	12/2028e
HSBC EPS	66.27	101.34	135.81	169.99
HSBC EPS (prev)	66.27	96.80	119.66	147.32
Change (%)	0.0	4.7	13.5	15.4
Consensus EPS	64.61	99.69	128.38	158.94
PE (x)	36.4	23.8	17.8	14.2
Dividend yield (%)	0.7	0.8	0.8	1.4
EV/EBITDA (x)	23.0	15.0	11.0	8.2
ROE (%)	35.4	40.6	39.0	35.3

52-WEEK PRICE (TWD)



Source: Refinitiv IBES, HSBC estimates

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Financials & valuation: TSMC

Buy

Financial statements

Year to	12/2025a	12/2026e	12/2027e	12/2028e
Profit & loss summary (TWDm)				
Revenue	3,809,054	5,279,598	7,182,298	9,030,731
EBITDA	2,624,188	3,948,943	5,295,285	6,787,862
Depreciation & amortisation	-688,096	-869,386	-1,165,611	-1,643,920
Operating profit/EBIT	1,936,092	3,079,558	4,129,674	5,143,942
Net interest	48,212	65,398	94,012	135,782
PBT	2,042,170	3,189,855	4,191,013	5,245,941
HSBC PBT	2,042,170	3,189,855	4,191,013	5,245,941
Taxation	-326,266	-563,465	-670,562	-839,351
Net profit	1,718,390	2,627,724	3,521,785	4,407,924
HSBC net profit	1,718,390	2,627,724	3,521,785	4,407,924
Cash flow summary (TWDm)				
Cash flow from operations	2,274,976	3,282,482	4,398,042	5,793,001
Capex	-1,272,411	-1,777,803	-2,486,240	-2,889,834
Cash flow from investment	-1,144,394	-1,777,803	-2,486,240	-2,889,834
Dividends	-466,779	-518,652	-518,652	-518,652
Change in net debt	-639,883	-986,027	-1,393,150	-2,384,515
FCF equity	1,002,565	1,504,679	1,911,802	2,903,167
Balance sheet summary (TWDm)				
Intangible fixed assets	12,031	11,454	11,075	10,826
Tangible fixed assets	3,691,841	4,600,836	5,921,843	7,168,005
Current assets	3,823,131	5,255,926	7,173,864	10,057,130
Cash & others	3,068,594	4,259,510	5,857,549	8,446,953
Total assets	7,933,024	10,274,236	13,512,804	17,641,982
Operating liabilities	1,479,075	1,506,325	1,536,871	1,571,888
Gross debt	993,154	1,198,043	1,402,932	1,607,821
Net debt	-2,075,440	-3,061,467	-4,454,617	-6,839,132
Shareholders' funds	5,419,596	7,528,668	10,531,802	14,421,074
Invested capital	2,979,334	4,102,379	5,712,363	7,217,120

Ratio, growth and per share analysis

Year to	12/2025a	12/2026e	12/2027e	12/2028e
Y-o-y % change				
Revenue	31.6	38.6	36.0	25.7
EBITDA	32.2	50.5	34.1	28.2
Operating profit	46.4	59.1	34.1	24.6
PBT	45.3	56.2	31.4	25.2
HSBC EPS	46.5	52.9	34.0	25.2
Ratios (%)				
Revenue/IC (x)	1.4	1.5	1.5	1.4
ROIC	59.0	71.6	70.7	66.8
ROE	35.4	40.6	39.0	35.3
ROA	23.5	28.8	29.6	28.3
EBITDA margin	68.9	74.8	73.7	75.2
Operating profit margin	50.8	58.3	57.5	57.0
EBITDA/net interest (x)				
Net debt/equity	-38.0	-40.4	-42.1	-47.3
Net debt/EBITDA (x)	-0.8	-0.8	-0.8	-1.0
CF from operations/net debt				
Per share data (TWD)				
EPS Rep (diluted)	66.27	101.34	135.81	169.99
HSBC EPS (diluted)	66.27	101.34	135.81	169.99
DPS	18.00	20.00	20.00	35.00
Book value	210.59	291.92	407.74	557.72

Valuation data

Year to	12/2025a	12/2026e	12/2027e	12/2028e
EV/sales	15.9	11.2	8.1	6.2
EV/EBITDA	23.0	15.0	11.0	8.2
EV/IC	20.3	14.5	10.2	7.7
PE*	36.4	23.8	17.8	14.2
PB	11.5	8.3	5.9	4.3
FCF yield (%)	1.6	2.4	3.1	4.6
Dividend yield (%)	0.7	0.8	0.8	1.4

* Based on HSBC EPS (diluted)

ESG metrics

Environmental Indicators	12/2024a
GHG emission intensity*	141.8
Energy intensity*	304.8
CO_2 reduction policy	Yes
Social Indicators	**12/2024a**
Employee costs as % of revenues	10.4
Employee turnover (%)	3.5
Diversity policy	Yes

Governance Indicators	12/2025a
No. of board members	10
Average board tenure (years)	13.0
Female board members (%)	20
Board members independence (%)	70

Source: Company data, HSBC

* GHG intensity and energy intensity are measured in kg and kWh respectively against revenue in USD '000s

Issuer information

Share price (TWD)	2415.00
Target price (TWD)	3350.00
RIC (Equity)	2330.TW
Bloomberg (Equity)	2330 TT
Market cap (USDm)	1,954,092

Free float	86%
Sector	Semiconductors
Country/Region	Taiwan
Analyst	Frank Lee
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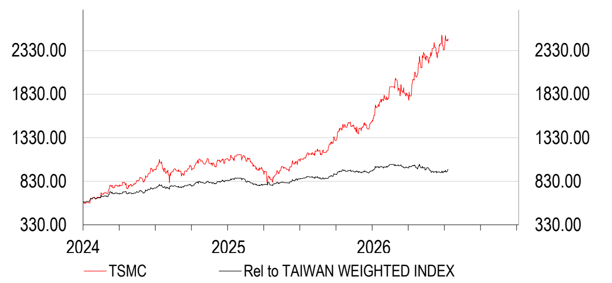
Price relative



Source: HSBC

Note: Priced at close of 09 Jul 2026

Exhibit 1: TSMC 2Q26 preview

(TWDbn)	2Q26e Guidance	2Q26e HSBCe	2Q26e Consensus	2Q26e HSBCe vs cons	3Q26e HSBCe	3Q26e Consensus	3Q26e HSBCe vs cons
Sales	1,236-1,274	1,254	1,265	-0.9%	1,400	1,373	2.0%
- q-o-q		11%	12%		12%	9%	
- y-o-y		34%	36%		41%	39%	
Gross margin	65.5-67.5%	68.0%	67.0%	99bps	67.0%	65.9%	104bps
Operating margin	56.5-58.5%	59.0%	58.4%	61bps	58.8%	57.5%	127bps
EPS (TWD)		23.80	24.00	-0.8%	27.38	26.61	2.9%

Source: Company data, HSBC estimates, Visible Alpha consensus

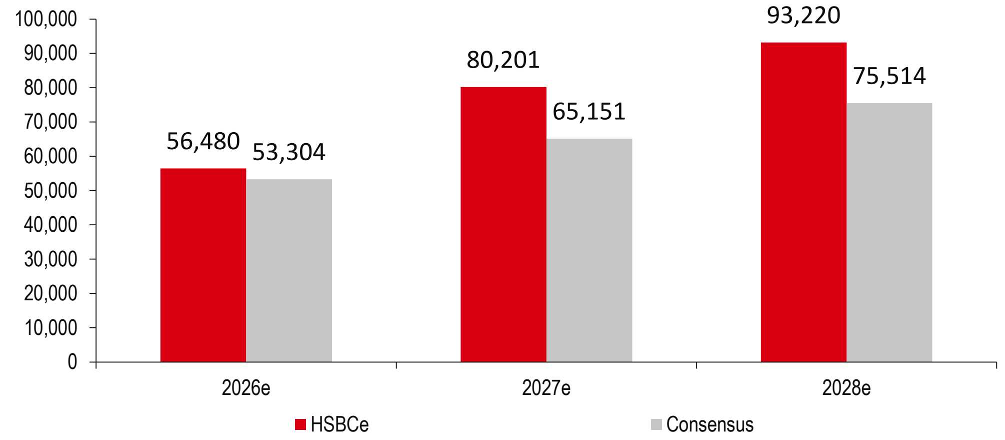
Focus on capex over GM trend, given increasing pressure from foundry tightness

We believe the most important narrative for TSMC is the increasing pressure to add advance node foundry capacity via both re-allocating mature node clean room space and additional facilities. If TSMC does not materially increase its overall foundry capacity, we see the risk of potential share gains by foundry competitors, such as Intel and Samsung, which could cap further re-rating potential for TSMC's share price. Hence, any near-term revenue upside or GM upside would be overlooked by the market if TSMC does not address ongoing foundry capacity tightness. However, a more aggressive capex strategy should lead to a higher long-term revenue FY24-FY29e CAGR on top of previous guidance of 25%, which we think remains a more important catalyst than any potential long-term GM dilution from higher capex.

Even though TSMC is unlikely to give explicit FY27 capex guidance until January 2027, we raise our FY27 capex estimate to USD80.2bn, which remains significantly higher than our previous estimate of USD70.6bn and current consensus estimates of USD65.2bn. However, we also believe that USD80.2bn may not be enough to address ongoing advance foundry node tightness. Hence, we conduct sensitivity analysis to show the 2029 revenue upside potential.

In our sensitivity analysis, we assume the incremental capex is spent to procure additional EUV capacity. With the general lead time being 18-24 months, incremental capacity would affect 2029 financials. On our estimates, each incremental unit of EUV equipment could help add 2.43k wafers per month, which could drive capacity additions of 41k-169k wafers per month. We assume 2029 revenue growth of 25% y-o-y in accordance with management's CAGR guidance of 25% during 2024-29. Assuming the incremental capacity is added entirely on 3nm, our sensitivity analysis suggests further upside of 4-15% to 2029e revenue, driving y-o-y growth in the range of 30-44% y-o-y. Assuming it is added entirely on 2nm, our sensitivity analysis suggests further upside of 5-19% to 2029e revenue, driving y-o-y growth in the range of 31-49% y-o-y. Therefore, our sensitivity analysis suggests that incremental capacity could help TSMC raise its long-term CAGR further.

Exhibit 2: TSMC capex (USDm) estimate comparisons



Source: HSBC estimates, Visible Alpha consensus estimates

Exhibit 3: TSMC – capacity added per EUV equipment

	2,026	**2,027**
EUV equipment added (#)	30	50
y-o-y		67%
Capacity added (k per month)		
2nm	40	60
3nm	40	50
Total	**80**	**110**
ratio (k wafer added per EUV)	2.67	2.20
Average (k wafer added per EUV)		**2.43**

Source: HSBC estimates

Exhibit 4: Sensitivity analysis based on incremental 3nm capacity

	Base	**Case I**	**Case II**	**Case III**	**Case IV**
2027 Capex (USDm)	80,201	85,000	90,000	95,000	100,000
Incremental CAPEX all spent on EUV (USDm)		4,799	9,799	14,799	19,799
EUV equipment cost (USDm)		285	285	285	285
Incremental EUV machines (#)		17	34	52	69
incremental 3nm capacity added (k wafers per month)		41	84	126	169
3nm ASP (USD)		27,213	27,213	27,213	27,213
incremental revenue added in 2029e (TWDbn)		**415**	**847**	**1,279**	**1,711**
2029e revenue based on management's guidance* (TWDbn)		11,288	11,288	11,288	11,288
Upside to 2029e revenue from increment EUV		**4%**	**8%**	**11%**	**15%**
Total implied 2029e revenue (TWDbn)		11,703	12,135	12,568	13,000
y-o-y		-100%	-100%	-100%	-100%

Source: HSBC estimates

Note: 2029e revenue assumes 25% y-o-y growth based on management guidance of revenue CAGR of 25% through 2024-2029e

Exhibit 5: Sensitivity analysis based on incremental 2nm capacity

	Base	Case I	Case II	Case III	Case IV
2027 Capex (USDm)	80,201	85,000	90,000	95,000	100,000
Incremental CAPEX all spent on EUV (USDm)		4,799	9,799	14,799	19,799
EUV equipment cost (USDm)		285	285	285	285
Incremental EUV machines (#)		17	34	52	69
incremental 3nm capacity added (k wafers per month)		41	84	126	169
2nm ASP (USD)		34,133	34,133	34,133	34,133
incremental revenue added in 2029e (TWDbn)		**520**	**1,062**	**1,604**	**2,146**
2029e revenue based on management's guidance* (TWDbn)		11,288	11,288	11,288	11,288
Upside to 2029e revenue from increment EUV		**5%**	**9%**	**14%**	**19%**
Total implied 2029e revenue (TWDbn)		11,809	12,351	12,893	13,435
y-o-y		-100%	-100%	-100%	-100%

Source: HSBC estimates

Note: 2029e revenue assumes 25% y-o-y growth based on management guidance of revenue CAGR of 25% through 2024-2029e

Exhibit 6: HSBC estimate changes and comparison to consensus

	HSBC new			HSBC old			Change			Consensus			HSBCe vs Cons		
(TWDm)	2026e	2027e	2028e	2026e	2027e	2028e	2026e	2027e	2028e	2026e	2027e	2028e	2026e	2027e	2028e
Sales	5,279,598	7,182,298	9,030,731	5,102,993	6,434,979	7,850,071	3%	12%	15%	5,172,869	6,678,729	8,250,126	2%	8%	9%
- y-o-y chg	38.6%	36.0%	25.7%	34.0%	26.1%	22.0%				35.8%	29.1%	23.5%			
Gross profit	3,520,792	4,804,810	6,074,107	3,352,138	4,231,179	5,254,088	5%	14%	16%	3,395,828	4,363,555	5,378,390	4%	10%	13%
- GM	66.7%	66.9%	67.3%	65.7%	65.8%	66.9%				65.6%	65.3%	65.2%			
Operating profit	3,079,558	4,129,674	5,143,942	2,937,885	3,632,999	4,452,239	5%	14%	16%	2,951,250	3,793,994	4,696,267	4%	9%	10%
- OPM	58.3%	57.5%	57.0%	57.6%	56.5%	56.7%				57.1%	56.8%	56.9%			
Net income	2,627,724	3,521,785	4,407,924	2,510,171	3,102,849	3,820,243	5%	14%	15%	2,458,388	3,270,686	4,073,122	7%	8%	8%
EPS (TWD)	101.34	135.81	169.99	96.80	119.66	147.32	5%	14%	15%	99.69	128.38	158.94	2%	6%	7%
- y-o-y chg	53%	34%	25%	46%	24%	23%				51%	29%	24%			

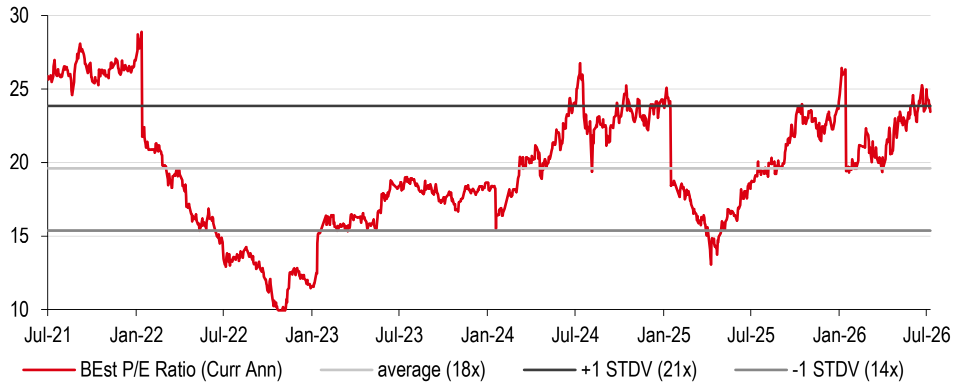
Source: HSBC Estimates, Visible Alpha consensus estimates

Exhibit 7: TSMC quarterly and annual P&L

(TWDm)	2025	1Q26e	2Q26e	3Q26e	4Q26e	2026e	1Q27e	2Q27e	3Q27e	4Q27e	2027e	2028e
Sales	3,809,054	1,134,103	1,254,047	1,399,810	1,491,638	5,279,598	1,580,030	1,683,911	1,901,412	2,016,946	7,182,298	9,030,731
- q-o-q		8%	11%	12%	7%		6%	7%	13%	6%		
- y-o-y	32%	35%	34%	41%	43%	39%	39%	34%	36%	35%	36%	26%
Gross profit	2,281,294	751,295	852,969	937,438	979,092	3,520,792	1,044,118	1,114,698	1,281,904	1,364,089	4,804,810	6,074,107
Gross margin	59.9%	66.2%	68.0%	67.0%	65.6%	66.7%	66.1%	66.2%	67.4%	67.6%	66.9%	67.3%
- q-o-q		15%	14%	10%	4%		7%	7%	15%	6%		
- y-o-y	40%	52%	56%	59%	50%	54%	39%	31%	37%	39%	36%	26%
Operating profit	1,936,092	658,966	740,424	823,010	857,158	3,079,558	895,595	956,410	1,103,172	1,174,497	4,129,674	5,143,942
OP margin	50.8%	58.1%	59.0%	58.8%	57.5%	58.3%	56.7%	56.8%	58.0%	58.2%	57.5%	57.0%
- q-o-q		17%	12%	11%	4%		4%	7%	15%	6%		
- y-o-y	46%	62%	60%	64%	52%	59%	36%	29%	34%	37%	34%	25%
Non-op income	106,079	28,834	30,122	31,700	19,642	110,298	12,180	14,109	16,263	18,788	61,340	101,999
Pre-tax income	2,042,170	687,800	770,546	854,710	876,800	3,189,855	907,775	970,519	1,119,434	1,193,285	4,191,013	5,245,941
Tax expense	-326,266	-114,999	-154,109	-145,301	-149,056	-563,465	-145,244	-155,283	-179,109	-190,926	-670,562	-839,351
Net income	1,718,390	572,480	617,217	709,956	728,072	2,627,724	762,210	816,016	940,872	1,002,687	3,521,785	4,407,924
- q-o-q		13%	8%	15%	3%		5%	7%	15%	7%		
- y-o-y	46%	58%	55%	57%	44%	53%	33%	32%	33%	38%	34%	25%
Net margin	45%	50%	49%	51%	49%	50%	48%	48%	49%	50%	49%	49%
EPS (TWD)	66.27	22.08	23.80	27.38	28.08	101.34	29.39	31.47	36.28	38.67	135.81	169.99
- q-o-q		13%	8%	15%	3%		5%	7%	15%	7%		
- y-o-y	46%	58%	55%	57%	44%	53%	33%	32%	33%	38%	34%	25%

Source: Company data, HSBC estimates

Exhibit 8: TSMC forward P/E



Source: Datastream

Valuation and risks

		Valuation	Risks to our view
TSMC 2330 TT **Buy**	Current price: **TWD2,415.00** Target price: **TWD3,350.00** Upside: **+38.7%**	Our revised target price of TWD3,350 is derived by applying target PE multiple of 25x (from 27x) to our rolled over FY27e EPS of TWD135.81 (from 2H26-1H27e EPS of TWD104.96). We believe the lower PE is reasonable, as we expect more competition from Intel in near to mid-term given the current supply tightness, regardless of Intel's yield performance (vs TSMC enjoying peak PE when it was dominant in advanced nodes and advanced packaging). Our target price for the ADR (TSM US, USD436.96 as of the 9 July close) is USD622.89 (from USD520.62), which is based on a 5:1 share conversion, HSBC TWD/USD forecast of 32.0, and one-year average share price premium of 19%. We believe the trading premium on the ADR is justified given TSMC's active capacity expansion plan (additional USD100bn) in Arizona, US.	**Downside risks:** 1) weaker-than-expected 5nm orders; 2) intensified US-China trade tensions and tighter restrictions on shipments to companies with businesses related to mainland China region; 3) slower ramp-up of advanced node production and yield rates; and 4) higher depreciation costs from investing in advanced nodes.

Priced at 9 July 2026
Source: HSBC estimates

Exhibit 9: Companies mentioned in this report

Company	Ticker	Currency	CMP	TP	Rating
Intel	INTC US	USD	112.54	200.00	Buy
Samsung Electronics	005930 KS	KRW	278,000.00	450,000.00	Buy

Source: Bloomberg, HSBC estimates
Note: Priced as of close of 9 July 2026

Disclosure appendix

Analyst Certification

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From 23rd March 2015 HSBC has assigned ratings on the following basis:

The target price is based on the analyst's assessment of the stock's actual current value, although we expect it to take six to 12 months for the market price to reflect this. When the target price is more than 20% above the current share price, the stock will be classified as a Buy; when it is between 5% and 20% above the current share price, the stock may be classified as a Buy or a Hold; when it is between 5% below and 5% above the current share price, the stock will be classified as a Hold; when it is between 5% and 20% below the current share price, the stock may be classified as a Hold or a Reduce; and when it is more than 20% below the current share price, the stock will be classified as a Reduce.

Our ratings are re-calibrated against these bands at the time of any 'material change' (initiation or resumption of coverage, change in target price or estimates).

Upside/Downside is the percentage difference between the target price and the share price.

Prior to this date, HSBC's rating structure was applied on the following basis:

For each stock we set a required rate of return calculated from the cost of equity for that stock's domestic or, as appropriate, regional market established by our strategy team. The target price for a stock represented the value the analyst expected the stock to reach over our performance horizon. The performance horizon was 12 months. For a stock to be classified as Overweight, the potential return, which equals the percentage difference between the current share price and the target price, including the forecast dividend yield when indicated, had to exceed the required return by at least 5 percentage points over the succeeding 12 months (or 10 percentage points for a stock classified as Volatile*). For a stock to be classified as Underweight, the stock was expected to underperform its required return by at least 5 percentage points over the succeeding 12 months (or 10 percentage points for a stock classified as Volatile*). Stocks between these bands were classified as Neutral.

*A stock was classified as volatile if its historical volatility had exceeded 40%, if the stock had been listed for less than 12 months (unless it was in an industry or sector where volatility is low) or if the analyst expected significant volatility. However, stocks which we did not consider volatile may in fact also have behaved in such a way. Historical volatility was defined as the past month's average of the daily 365-day moving average volatilities. In order to avoid misleadingly frequent changes in rating, however, volatility had to move 2.5 percentage points past the 40% benchmark in either direction for a stock's status to change.

Rating distribution for long-term investment opportunities

As of 31 March 2026, the distribution of all independent ratings published by HSBC is as follows:

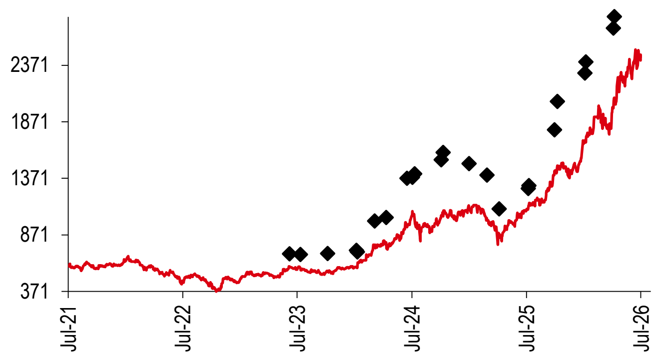
Buy	59%	(12% of these provided with Investment Banking Services in the past 12 months)
Hold	36%	(12% of these provided with Investment Banking Services in the past 12 months)
Sell	6%	(6% of these provided with Investment Banking Services in the past 12 months)

For the purposes of the distribution above the following mapping structure is used during the transition from the previous to current rating models: under our previous model, Overweight = Buy, Neutral = Hold and Underweight = Sell; under our current model Buy = Buy, Hold = Hold and Reduce = Sell. For rating definitions under both models, please see "Stock ratings and basis for financial analysis" above.

For the distribution of non-independent ratings published by HSBC, please see the disclosure page available at *http://www.hsbcnet.com/gbm/financial-regulation/investment-recommendations-disclosures*.

Share price and rating changes for long-term investment opportunities

TSMC (2330.TW) share price performance TWD Vs HSBC rating history



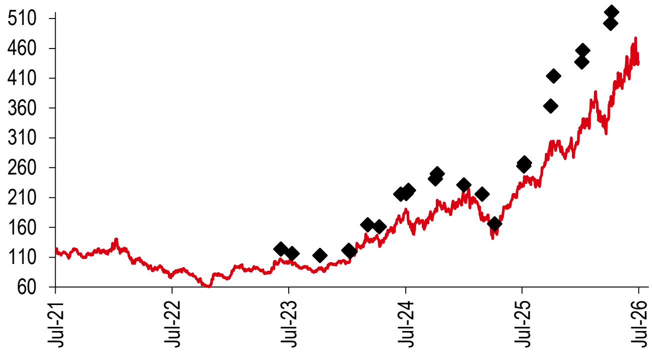
Source: HSBC

Rating & target price history

From	To	Date	Analyst
Hold	Buy	15 Jan 2018	Steven Pelayo, CFA
Target price	**Value**	**Date**	**Analyst**
Price 1	703	15 Jun 2023	Frank Lee
Price 2	697	20 Jul 2023	Frank Lee
Price 3	705	15 Oct 2023	Frank Lee
Price 4	733	14 Jan 2024	Frank Lee
Price 5	720	18 Jan 2024	Frank Lee
Price 6	993	13 Mar 2024	Frank Lee
Price 7	1025	18 Apr 2024	Frank Lee
Price 8	1370	24 Jun 2024	Frank Lee
Price 9	1378	11 Jul 2024	Frank Lee
Price 10	1410	18 Jul 2024	Frank Lee
Price 11	1535	11 Oct 2024	Frank Lee
Price 12	1600	17 Oct 2024	Frank Lee
Price 13	1500	08 Jan 2025	Frank Lee
Price 14	1400	06 Mar 2025	Frank Lee
Price 15	1100	14 Apr 2025	Frank Lee
Price 16	1280	15 Jul 2025	Frank Lee
Price 17	1305	17 Jul 2025	Frank Lee
Price 18	1800	07 Oct 2025	Frank Lee
Price 19	2050	16 Oct 2025	Frank Lee
Price 20	2300	12 Jan 2026	Frank Lee
Price 21	2400	15 Jan 2026	Frank Lee
Price 22	2700	13 Apr 2026	Frank Lee
Price 23	2800	16 Apr 2026	Frank Lee

Source: HSBC

TSMC (TSM.N) share price performance USD Vs HSBC rating history



Source: HSBC

Rating & target price history

From	To	Date	Analyst
Hold	Buy	15 Jan 2018	Steven Pelayo, CFA

Target price	Value	Date	Analyst
Price 1	123.33	15 Jun 2023	Frank Lee
Price 2	116.17	20 Jul 2023	Frank Lee
Price 3	112.98	15 Oct 2023	Frank Lee
Price 4	121.36	14 Jan 2024	Frank Lee
Price 5	119.21	18 Jan 2024	Frank Lee
Price 6	164.40	13 Mar 2024	Frank Lee
Price 7	161.16	18 Apr 2024	Frank Lee
Price 8	215.41	24 Jun 2024	Frank Lee
Price 9	216.67	11 Jul 2024	Frank Lee
Price 10	221.70	18 Jul 2024	Frank Lee
Price 11	241.35	11 Oct 2024	Frank Lee
Price 12	250.00	17 Oct 2024	Frank Lee
Price 13	230.77	08 Jan 2025	Frank Lee
Price 14	215.38	06 Mar 2025	Frank Lee
Price 15	165.66	14 Apr 2025	Frank Lee
Price 16	262.62	15 Jul 2025	Frank Lee
Price 17	267.75	17 Jul 2025	Frank Lee
Price 18	363.05	07 Oct 2025	Frank Lee
Price 19	413.47	16 Oct 2025	Frank Lee
Price 20	437.22	12 Jan 2026	Frank Lee
Price 21	456.23	15 Jan 2026	Frank Lee
Price 22	502.03	13 Apr 2026	Frank Lee
Price 23	520.63	16 Apr 2026	Frank Lee

Source: HSBC

To view a list of all the independent fundamental ratings/recommendations disseminated by HSBC during the preceding 12-month period, and the location where we publish our quarterly distribution of non-fundamental recommendations (applicable to Fixed Income and Currencies research only), please use the following links to access the disclosure page:

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Disclosure checklist

Company	Ticker	Recent price	Price date	Disclosure
TSMC	2330.TW	2415.00	09 Jul 2026	–

Source: HSBC

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8 A covering analyst/s has received compensation from this company in the past 12 months.

9 A covering analyst/s or a member of his/her household has a financial interest in the securities of this company, as detailed below.

10 A covering analyst/s or a member of his/her household is an officer, director or supervisory board member of this company, as detailed below.
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